Macro Fundamentals

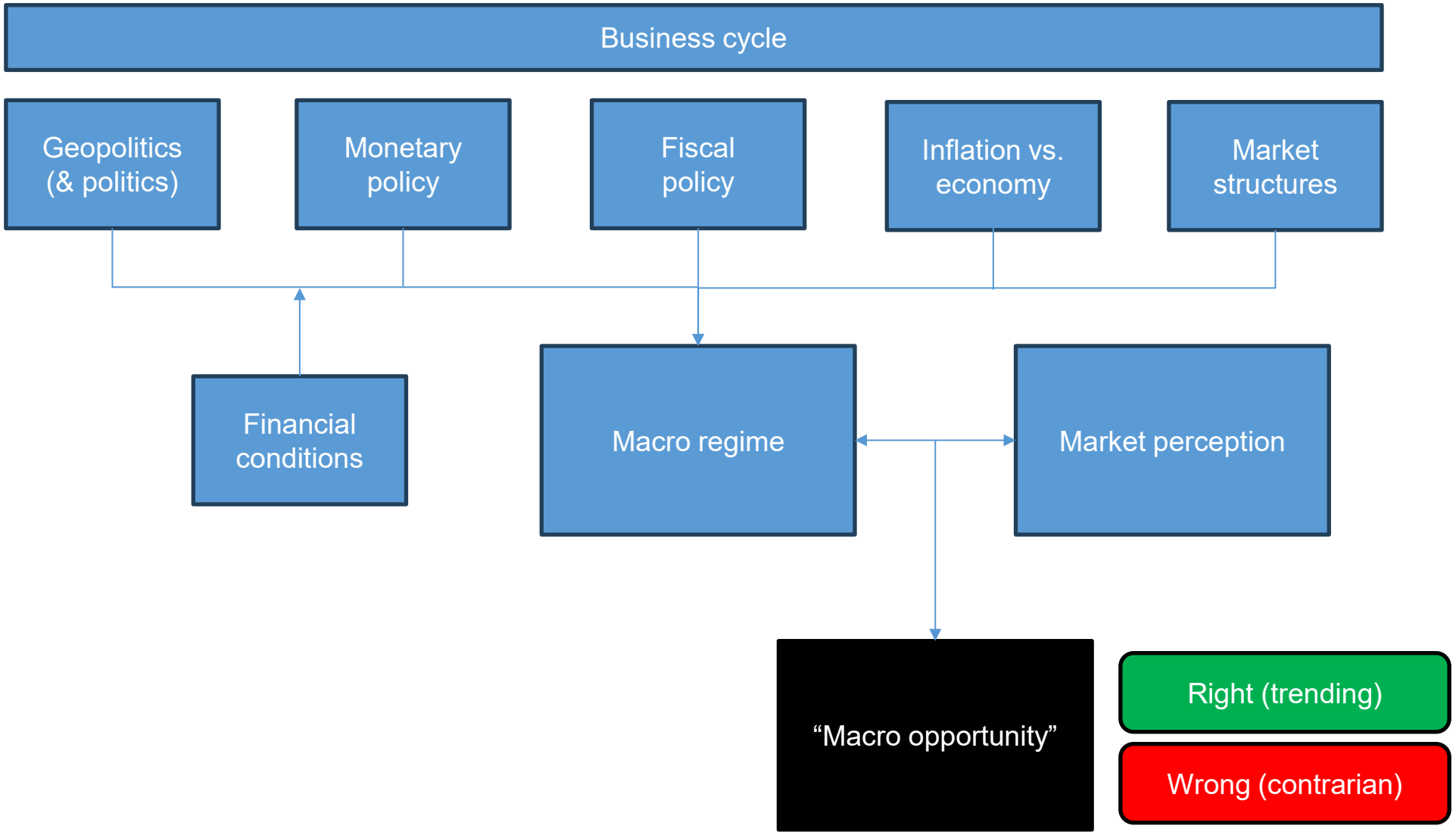
What is Macro

Why is macro important?

Market may swing dramatically in either direction on a day-to-day basis (even in the absence of any corporate news)

Shifting macro perspectives and interpretations by the market may play a significant role in these volatile short-term trends, not necessarily because of the intrinsic value of the company itself

Macroeconomic news influences daily swings in the market. By building an understanding of what impacts the markets the most, you can successfully navigate them


Business cycle
Geopolitics (& politics)
Monetary policy
Fiscal policy
Inflation vs. economy
Market structures
Financial conditions
Macro regime
Market perception
“Macro opportunity”
Right (trending)
Wrong (contrarian)

Types of macro regimes

Regime	Economic Growth (Trend)	Inflation (Trend)	Characteristics & Asset Performance
Expansive (Goldilocks)	**Rising**	**Falling/Low**	• **Peak performance for risk assets.** Strong profits, low input costs, and easy monetary policy. • **Best for:** Equities, Credit (Corporate Bonds).
Contractionary (Stagflationary)	**Falling**	**Rising/High**	• **Most challenging regime.** Falling demand meets rising costs. Central banks face a dilemma. • **Best for:** Commodities, Gold, Cash/Short-Term Bonds (Defensive).
Recovery (Reflationary)	**Rising**	**Rising/High**	• **Early cycle growth and policy stimulus.** Demand picks up, driving both growth and prices higher. • **Best for:** Cyclical Equities, Commodities, Inflation-Protected Bonds (TIPS).
Slowdown (Deflationary)	**Falling**	**Falling/Low**	• **Late cycle risk reduction.** Weak demand, low pricing power, and falling rates. • **Best for:** High-Quality/Long-Duration Government Bonds, Defensive Equities, Quality/Low Volatility Factors.

How to tell?

Econometric analysis of macro and market data

Policy analysis

Technical analysis of security prices (volume, charts, sentiment…)

Fundamental analysis of stocks (earnings releases)

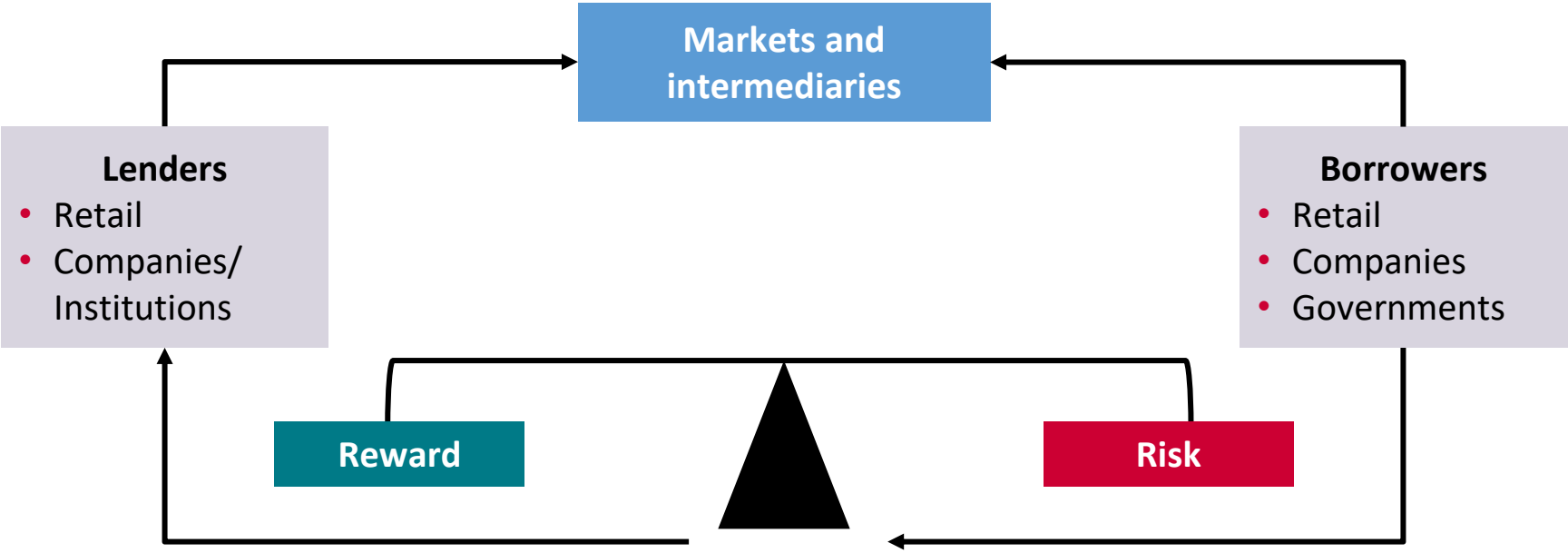
Regime

Mainstream media (The Economist, Barron's…)

Perception

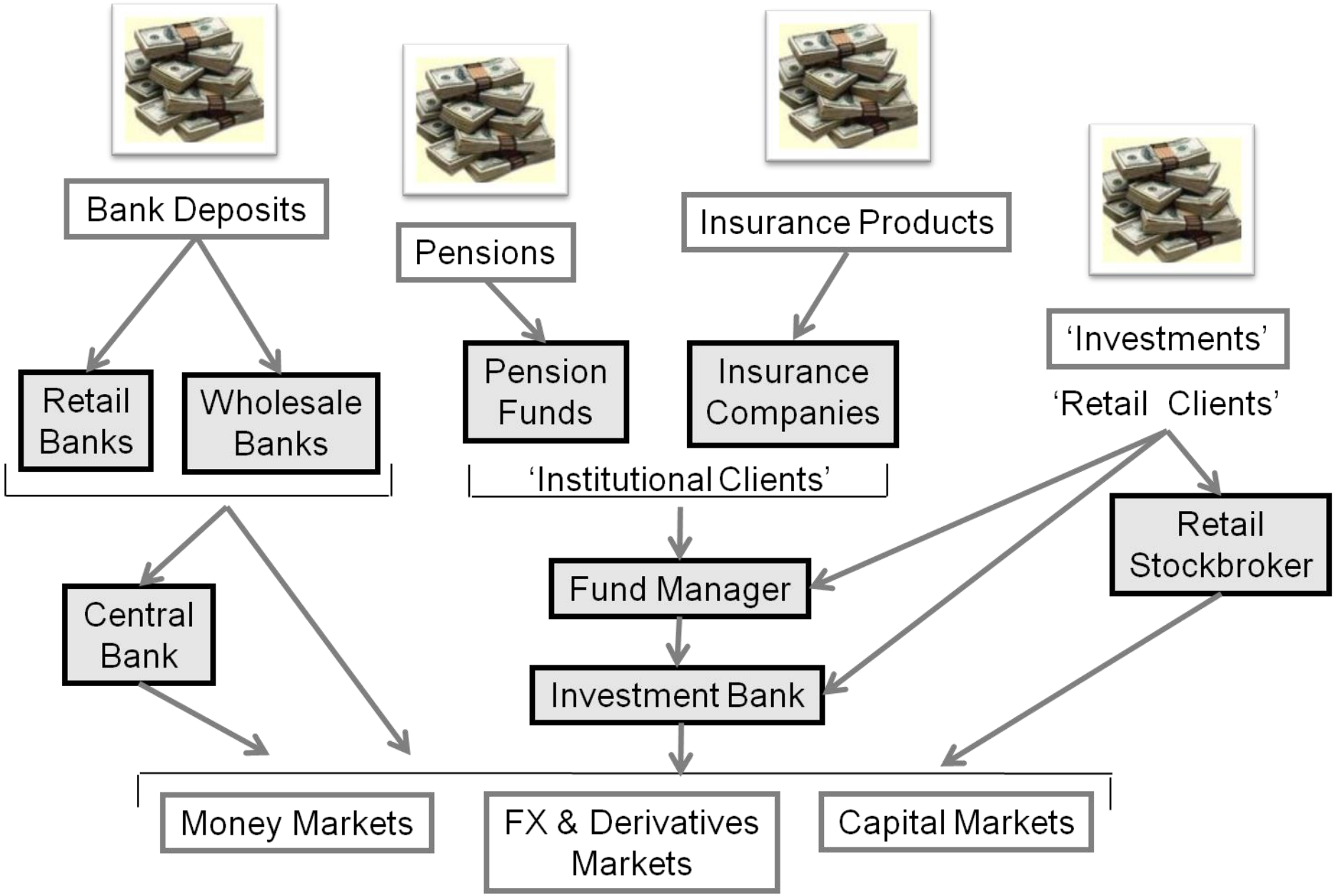
Financial Markets

Structure of Financial Markets



- Provision of a payment mechanisms
- Management of maturity terms
- Transformation of risk

- Provision of liquidity
- Cost efficiency


Bank Deposits
Pensions
Insurance Products
'Investments'
Retail Banks
Wholesale Banks
Pension Funds
Insurance Companies
'Retail Clients'
'Institutional Clients'
Retail Stockbroker
Central Bank
Fund Manager
Investment Bank
Money Markets
FX & Derivatives Markets
Capital Markets

Sell-side – A typical Investment Bank

Front office – Revenue generating; clients = Corporates/Governments/Banks/Asset Managers

Capital markets

- Traders and market makers
- Fund/quant research analysts
- Sales people
- Structurers

Investment banking

- Debt/ equity capital markets
- Corp financiers and M&A specialists

Middle office – Reporting, cost saving and efficiency improvements
Clients = Front office, senior management

- Credit/market risk analysts (reporting)
- Product controllers (finance)

Back office – Processing, cost saving and efficiency improvements
Clients = Front/middle office, external clients, senior management

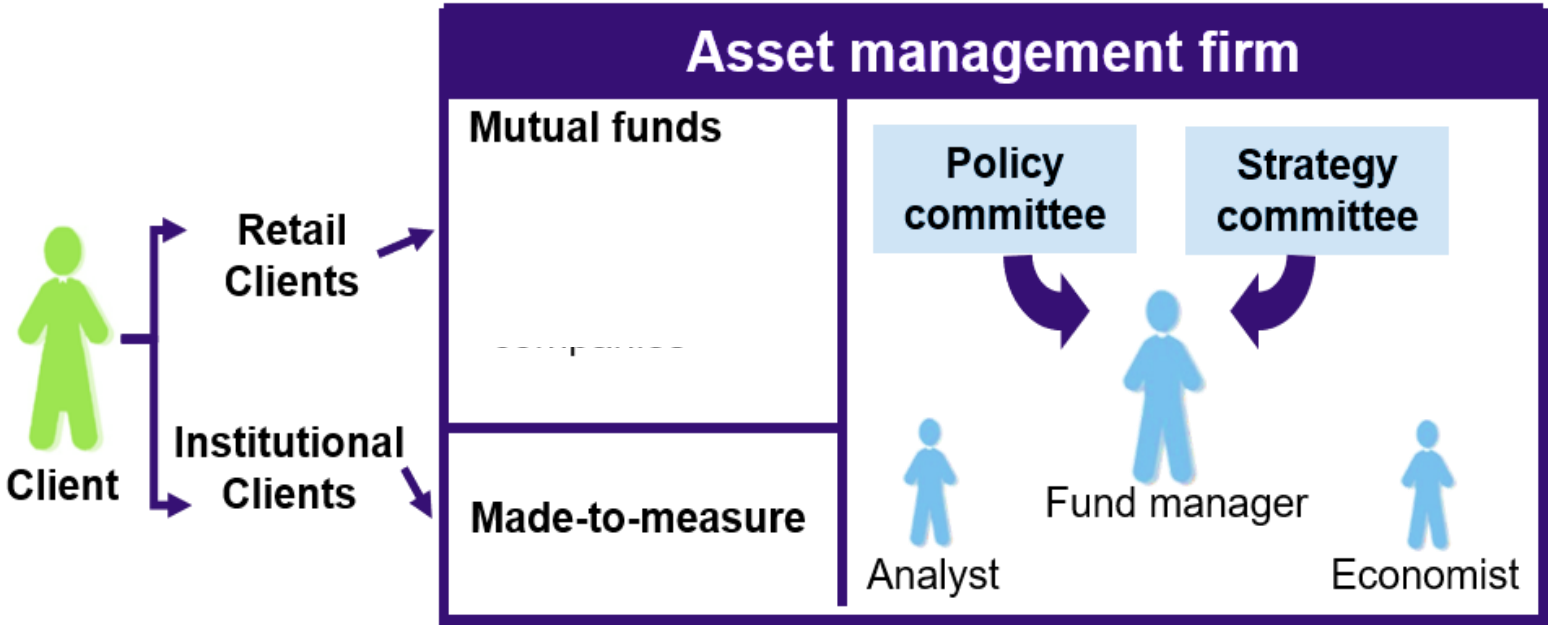
- Operations/support analysts

IT analysts, business analysts, prime brokerage

Legal and compliance officers, HR

Senior management – CEO, COO, CTO, CFO, etc.

Buy Side – Asset Manager



Buy Side – Hedge Funds

Hedge funds:

- Are generally not open to the public or promoted to private investors (with exceptions)
- Use creative, innovative and often aggressive investment strategies
- Invest their own money alongside their clients

Hedge fund managers earn a management fee and will also earn a performance fee if targets are met. For example: 'Two And Twenty' - hedge fund managers charge a flat 2% of total asset value management fee and an additional 20% of performance

Different Investment Philosophies

Active fund managers do not believe the markets to be efficient:

- Pick assets that could outperform the benchmark over the fund's investment horizon
- Theoretically cheap, recovery plays, unethicals, etc.
- Seek to beat the market
- Consumes research – broker and in-house
- Styles: Growth, value, income, etc.

Passive fund managers believe the market is efficient, it is impossible to outperform the index:

- Benchmark should therefore be replicated or tracked
- No one can beat the market (in the long run)
- Light on research, heavy on IT

A hedge fund's aim is to:

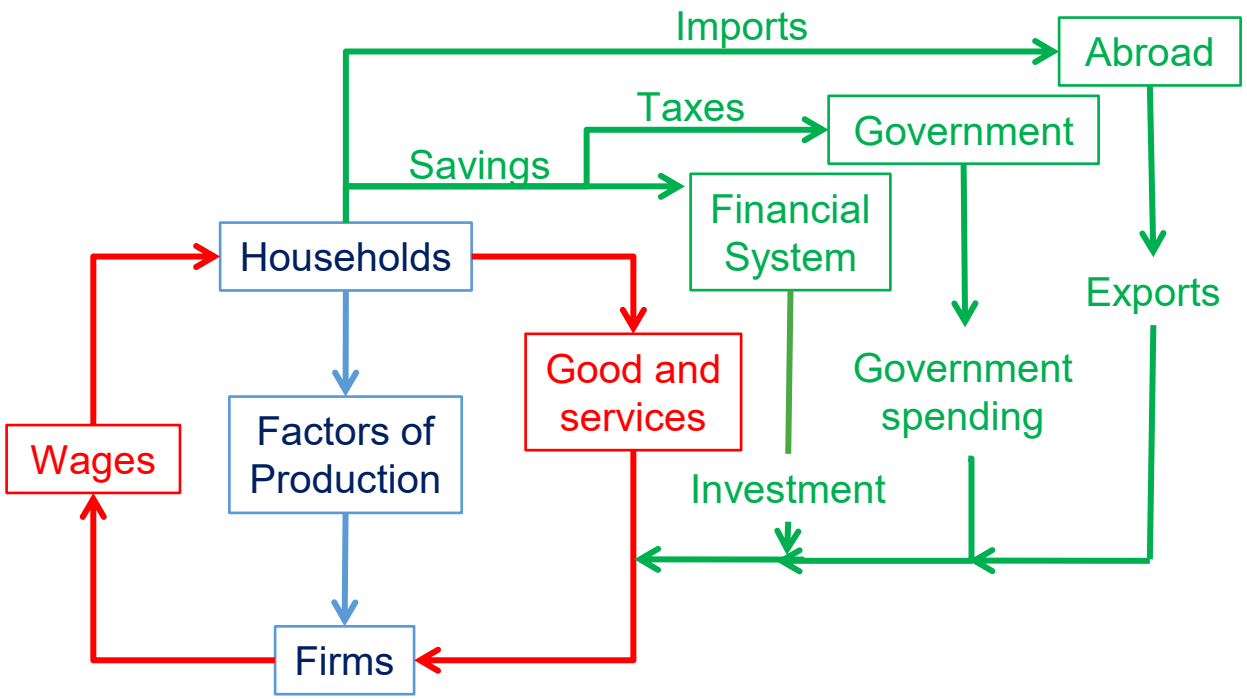
- Provide **absolute returns** (Alpha) – regardless of market direction
- Take short or long positions
- Consumes research

Central Banks

The Role of Central Banks

- Mandate
  - Monetary policy – management of the supply and demand of money
  - Regulatory policy – ensuring financial stability
  - Debt relief – ensuring smooth functioning of fiscal policy

Circular Flow of Income



Economic data

Types of data

1. **Leading** indicators vs. **lagging** indicators
   - Leading
     - Stock prices
     - Yield curve
     - Jobless claims
     - Consumer sentiment
     - PMI…
   - Lagging
     - GDP
     - Non-farm payrolls
     - Inflation
2. **Hard** data vs. **soft** data
   - Hard: objective
   - Soft: subjective

Bloomberg calendar

Expected (economist survey consensus)

Actual, data reported by gov

	Date Time	A	M	R	Event	Period	Surv(M)	Actual	Prior	Revised
21	10/02 14:45				S&P Global US Manufacturing PMI	Sep F	48.9	--	48.9	--
22	10/02 15:00				Construction Spending MoM	Aug	0.5%	--	0.7%	--
23	10/02 15:00				ISM Manufacturing	Sep	47.9	--	47.6	--
24	10/02 15:00				ISM Prices Paid	Sep	49.0	--	48.4	--
25	10/02 15:00				ISM Employment	Sep	--	--	48.5	--
26	10/02 15:00				ISM New Orders	Sep	--	--	46.8	--
27	10/03 15:00				JOLTS Job Openings	Aug	8830k	--	8827k	--
28	10/03				Wards Total Vehicle Sales	Sep	15.35m	--	15.04m	--
29	10/04 12:00				MBA Mortgage Applications	Sep 29	--	--	-1.3%	--
30	10/04 13:15				ADP Employment Change	Sep	150k	--	177k	--
31	10/04 14:45				S&P Global US Services PMI	Sep F	50.2	--	50.2	--
32	10/04 14:45				S&P Global US Composite PMI	Sep F	50.1	--	50.1	--
33	10/04 15:00				Factory Orders	Aug	0.4%	--	-2.1%	--
34	10/04 15:00				Factory Orders Ex Trans	Aug	--	--	0.8%	--
35	10/04 15:00				Durable Goods Orders	Aug F	0.2%	--	0.2%	--
36	10/04 15:00				Durables Ex Transportation	Aug F	0.4%	--	0.4%	--
37	10/04 15:00				Cap Goods Orders Nondef Ex Air	Aug F	--	--	0.9%	--
38	10/04 15:00				Cap Goods Ship Nondef Ex Air	Aug F	--	--	0.7%	--
39	10/04 15:00				ISM Services Index	Sep	53.5	--	54.5	--
40	10/04 15:00				ISM Services Prices Paid	Sep	--	--	58.9	--
41	10/04 15:00				ISM Services Employment	Sep	--	--	54.7	--
42	10/04 15:00				ISM Services New Orders	Sep	--	--	57.5	--
43	10/05 12:30				Challenger Job Cuts YoY	Sep	--	--	266.9%	--
44	10/05 13:30				Trade Balance	Aug	-$60.4b	--	-$65.0b	--
45	10/05 13:30				Initial Jobless Claims	Sep 30	210k	--	204k	--
46	10/05 13:30				Continuing Claims	Sep 23	1670k	--	1670k	--
47	10/06 13:30				Change in Nonfarm Payrolls	Sep	165k	--	187k	--
48	10/06 13:30				Two-Month Payroll Net Revision	Sep	--	--	-110k	--
49	10/06 13:30				Change in Private Payrolls	Sep	153k	--	179k	--
50	10/06 13:30				Change in Manufact. Payrolls	Sep	5k	--	16k	--
51	10/06 13:30				Unemployment Rate	Sep	3.7%	--	3.8%	--
52	10/06 13:30				Average Hourly Earnings MoM	Sep	0.3%	--	0.2%	--
53	10/06 13:30				Average Hourly Earnings YoY	Sep	4.3%	--	4.3%	--
54	10/06 13:30				Average Weekly Hours All Employees	Sep	34.4	--	34.4	--
55	10/06 13:30				Labor Force Participation Rate	Sep	62.8%	--	62.8%	--

Relative importance

Gross Domestic Product (GDP)

- The total value of output from WITHIN a country

$$\text{Gross domestic product (GDP)} = C + I + G + (X - M)$$

- Where:

  C = Consumer expenditure

  I = Private investment in firms

  G = Government expenditure

  X = Exports

  M = Imports

Key macro-economic indicators

- **Inflation**
  - CPI vs. PPI vs. PCE
  - Each country will have a slightly different basket for their inflation data
    - In the US: Headline, Core (ex-food and energy) and Supercore (services inflation ex-food, energy and housing)
  - The Fed's mandate is to return inflation back down to 2%, so they closely watch inflation numbers, as well as the overall trend
    - To some degree, you can 'predict' what the number will be (Even though this is highly difficult and complex)
    - For example, say it's October. On the 12th October, **September's** CPI readings are released. Technically, one can review all of the past monthly increases in prices to 'predict' what CPI would be for the month of September

Inflation

Credit Creation

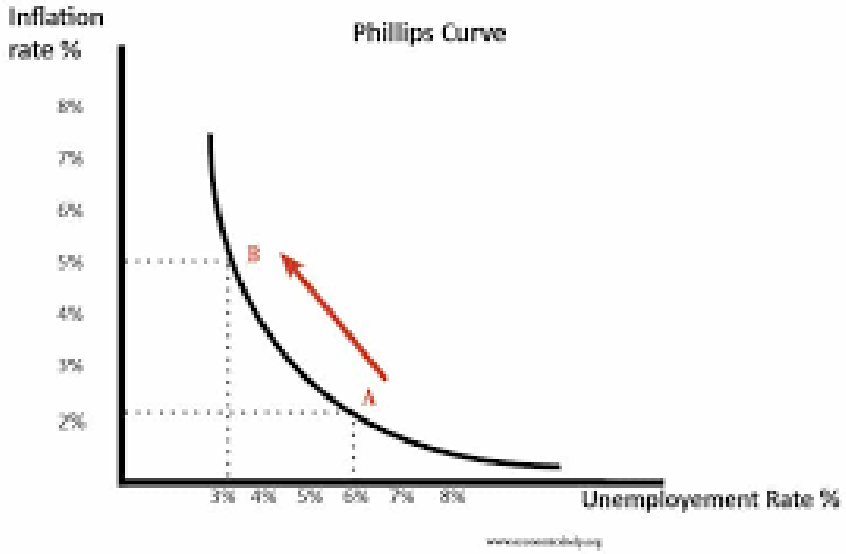
- Cause? Banks lend more than they hold in reserves

Impact of Inflation

- Problems caused by inflation:
  - Real value of salaries/pensions eroded
  - Real value of investments eroded
  - Exports may become less competitive
- Positive aspects:
  - Rising house prices contribute to a ‘feel good factor’
  - Borrowers benefit: the real value of debt falls
  - Real value of a country’s national debt may fall

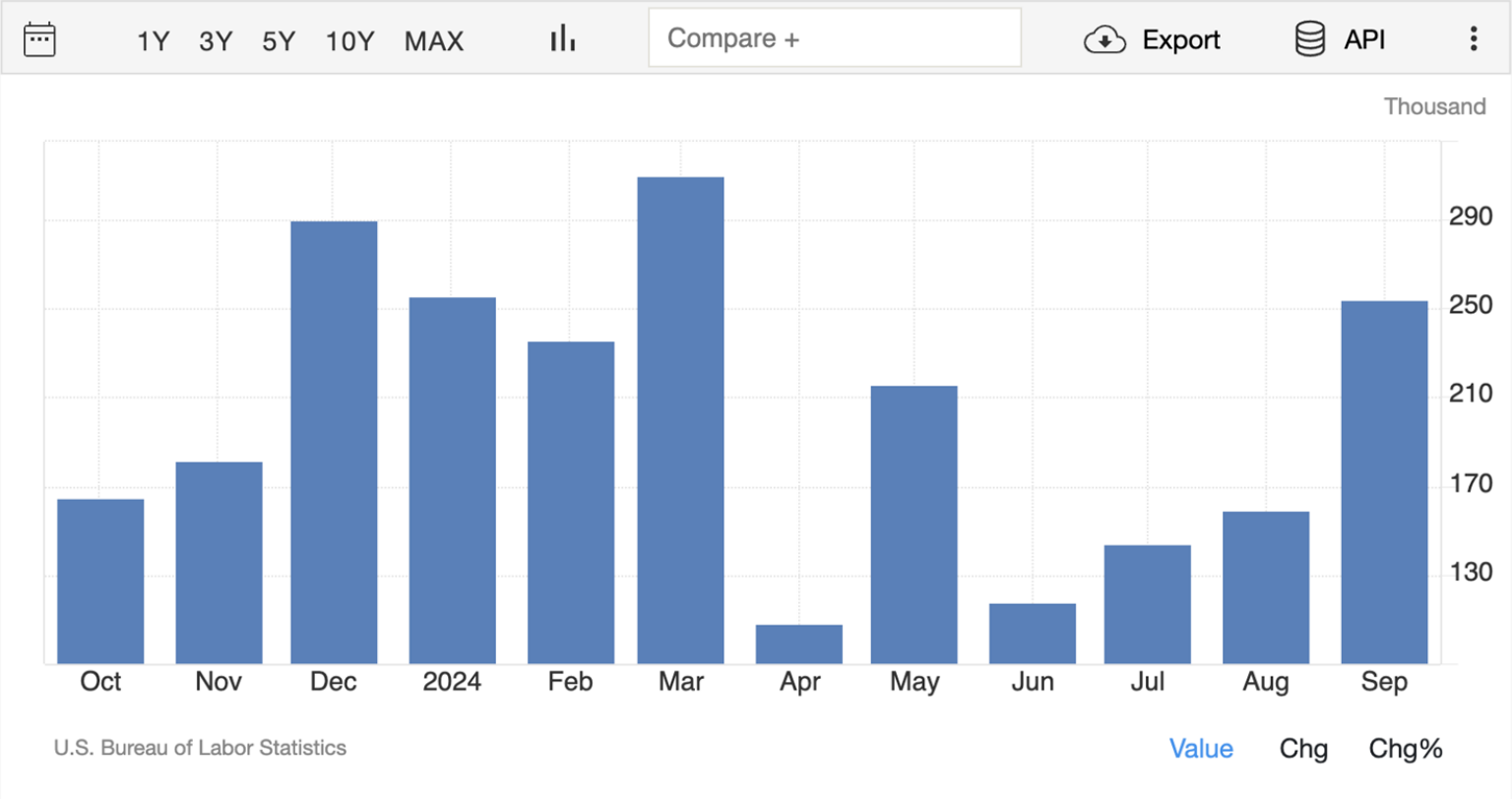
Key macro-economic indicators

- **Unemployment data**
  - This is known as an NFP (Non Farm Payrolls) report, and is published by the BLS (Bureau of Labor Statistics.
  - Philips curve



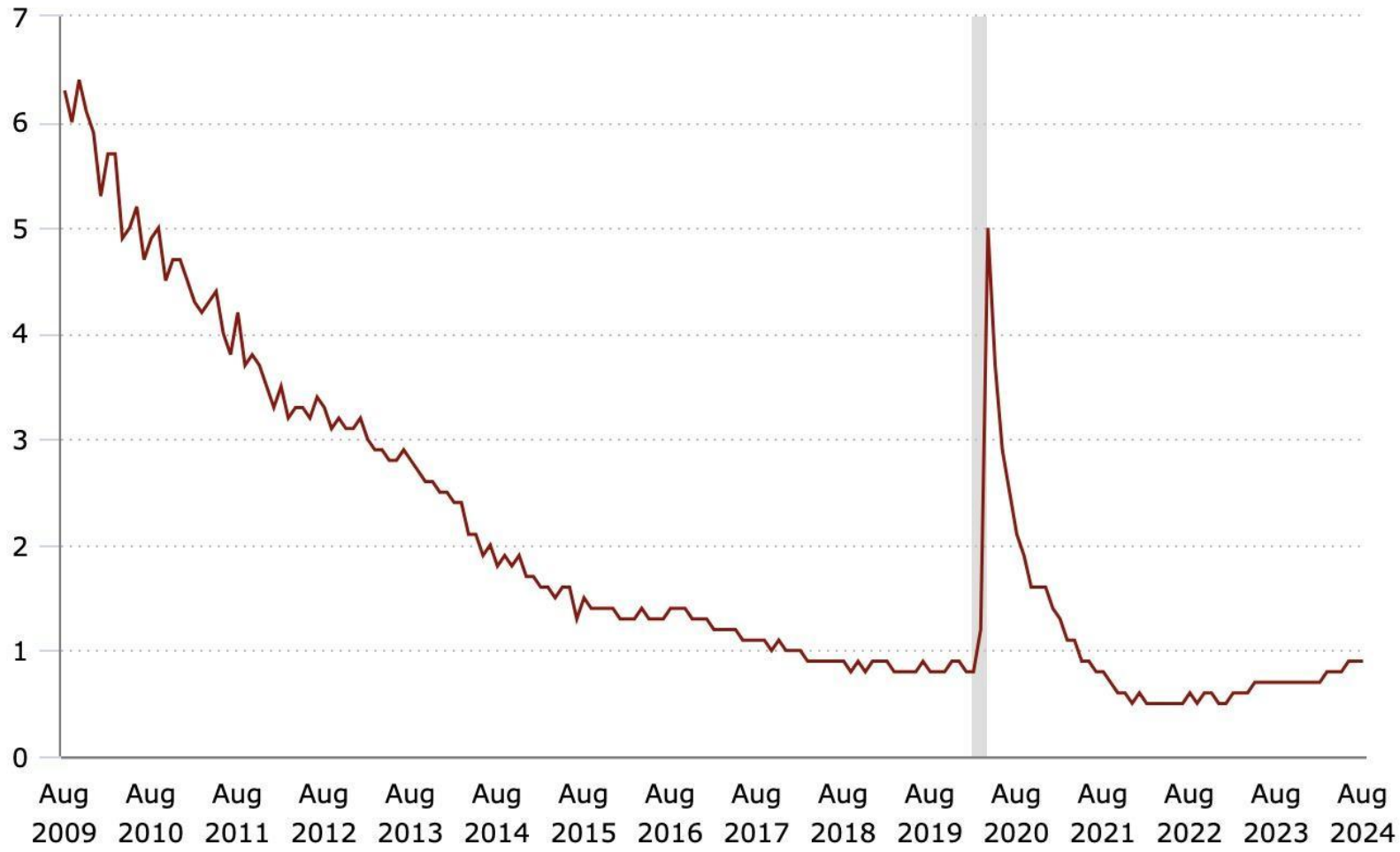
United States Non-Farm Payrolls

The US economy added 254K jobs in September 2024, much higher than an upwardly revised 159K in August, and well above forecasts of 140K. It is the strongest job growth in six months and higher than the average monthly gain of 203K over the prior 12 months. Employment continued to trend up in food services and drinking places (69K); health care (45K); government (31K), both local (16K) and state (13K); social assistance (27K), primarily in individual and family services (21K); and construction (25K). Employment declined by 7K in manufacturing and was little changed in mining, quarrying, and oil and gas extraction; wholesale trade; retail trade; transportation and warehousing; information; financial activities; professional and business services. Meanwhile, payrolls figures for July were revised up by 55K from 89K to 144K, and the change for August was revised up by 17K from 142K to 159K. With these revisions, employment in July and August combined is 72K higher than previously reported. source: U.S. Bureau of Labor Statistics



Number of unemployed persons per job opening, seasonally adjusted

Click and drag within the chart to zoom in on time periods

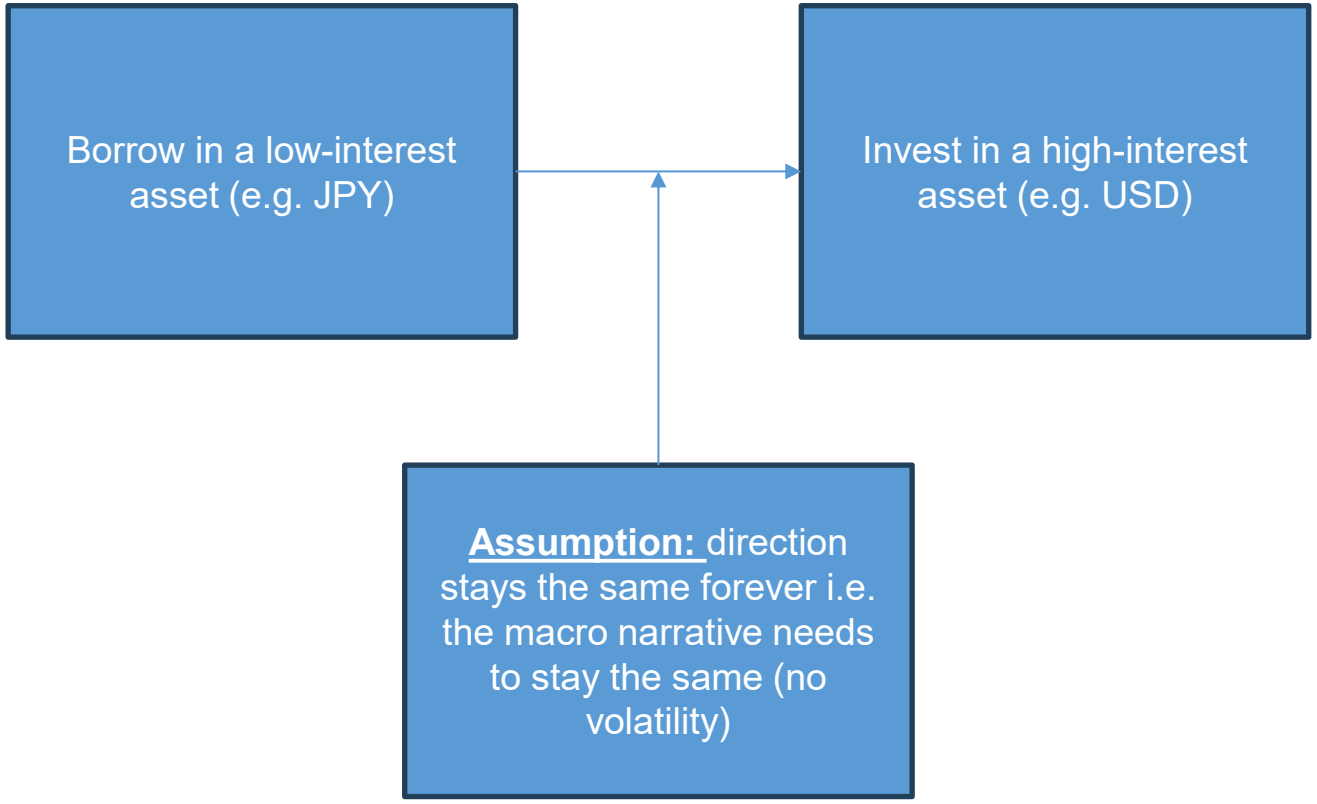


Hover over chart to view data.
Note: Shaded area represents recession, as determined by the National Bureau of Economic Research.
Source: U.S. Bureau of Labor Statistics.

PMI (Purchasing Managers Index)

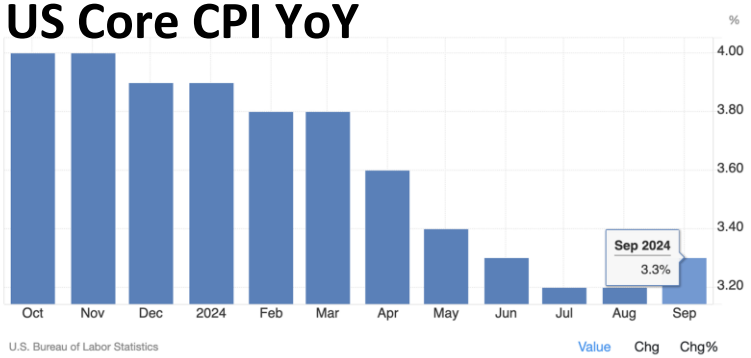
- Purchasing Manager's Index data is considered a **leading indicator**, as it provides insights into the health and direction of a country's *manufacturing/service* industry over the coming months.
- These reports are released **early on in the month**, usually at the beginning, and have a **significant impact** on financial market performance that day.
  - **Prices Paid Index**
    - Can influence the path of inflation, as it's direct data from businesses showing how much they paid for goods/services, raw materials etc.
  - **Main Index**
    - Measures confidence of business leaders going forward.
    - Below 50 = contractionary, above 50 = expansionary
      - Higher confidence = higher investment = higher inflation and tighter labor market = higher interest rates(prevent economy from overheating)

Carry Trade

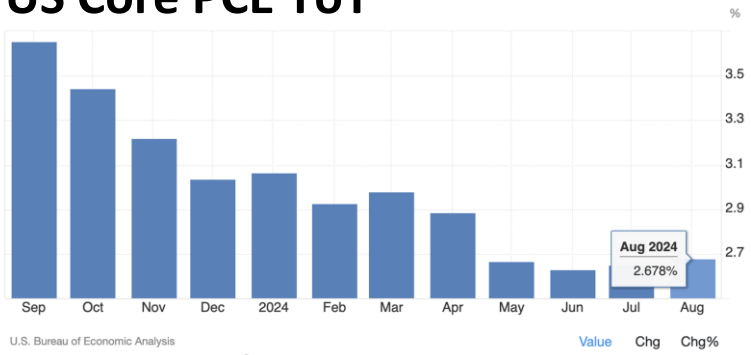

Borrow in a low-interest asset (e.g. JPY)
Invest in a high-interest asset (e.g. USD)
Assumption: direction stays the same forever i.e. the macro narrative needs to stay the same (no volatility)

Data prints taken together could shape markets narratives

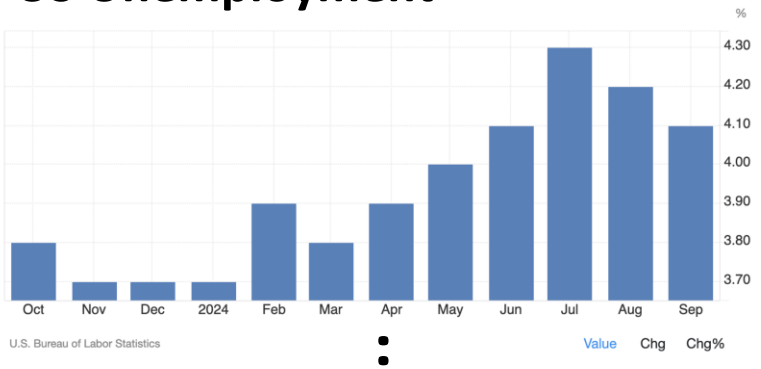
US Core CPI YoY

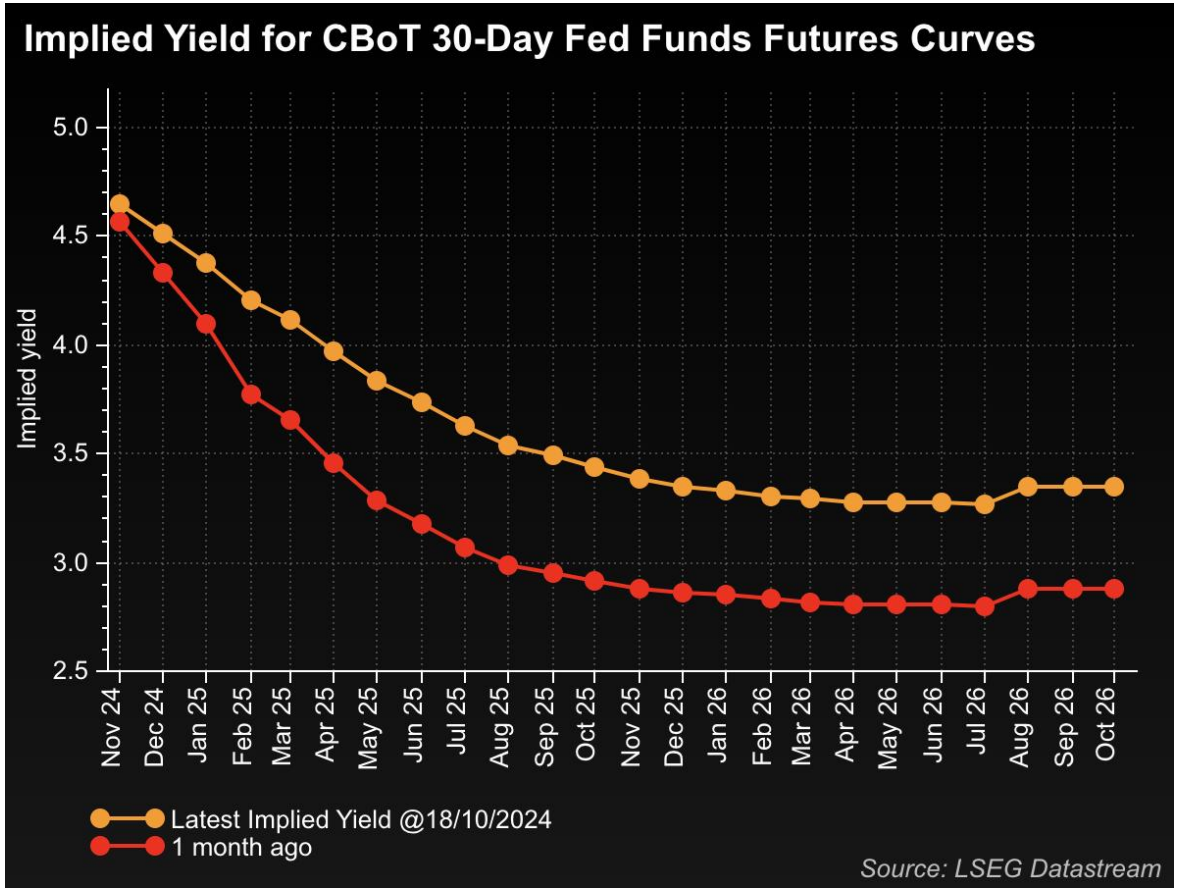


US Core PCE YoY



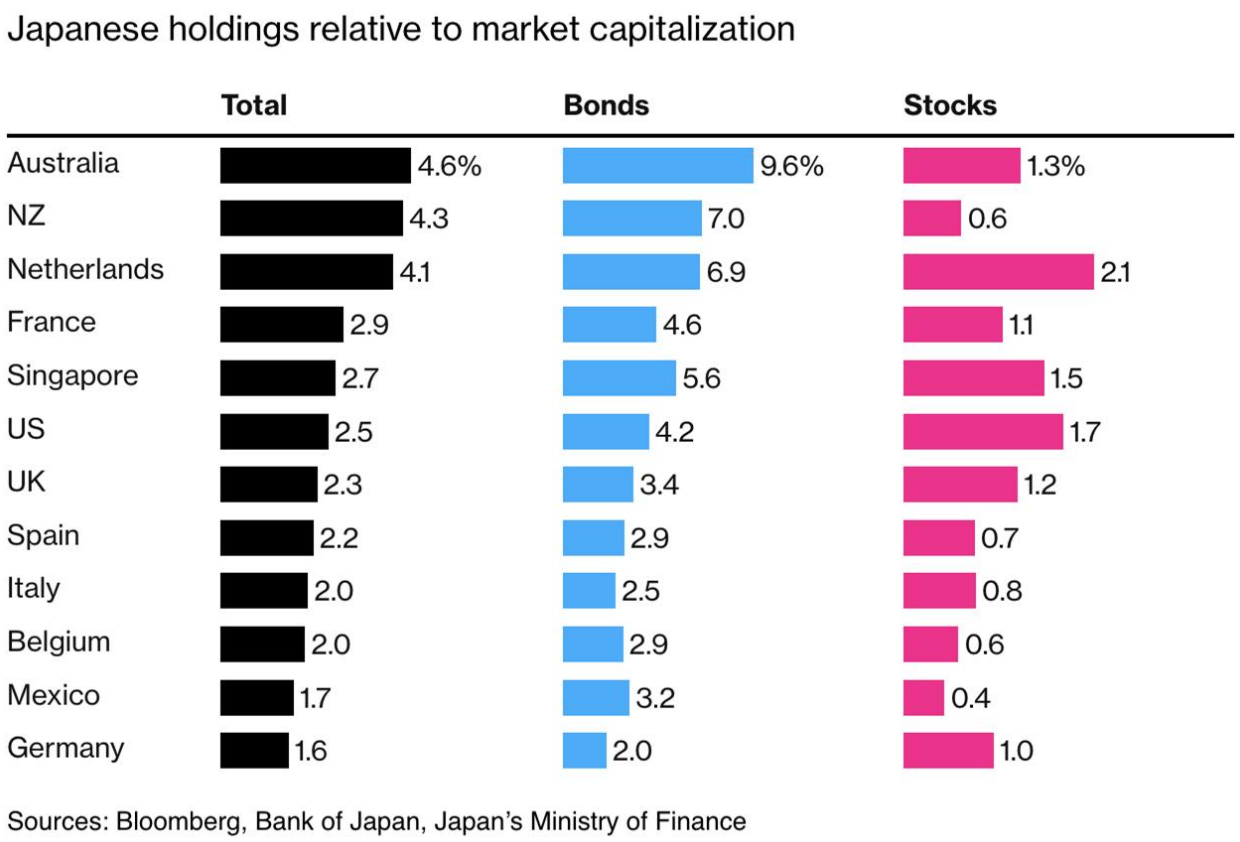
US Unemployment



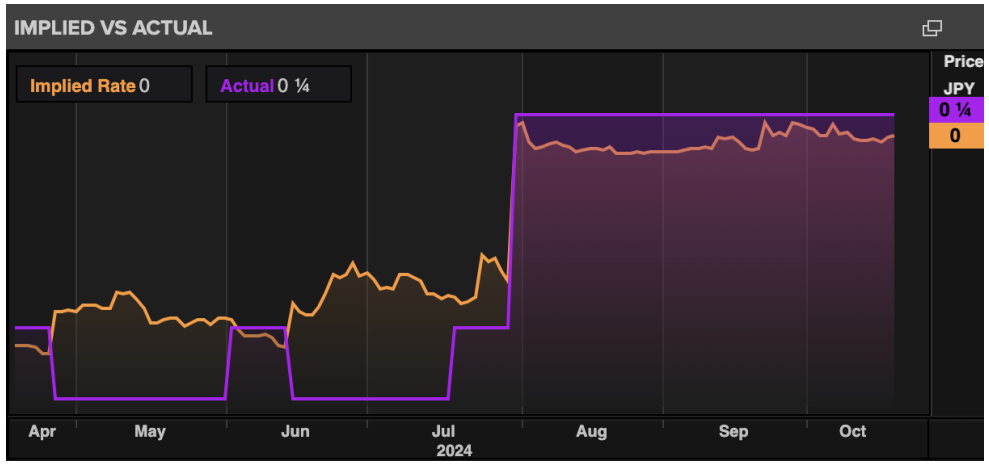


A shock to markets narratives - Japan carry trade unwind

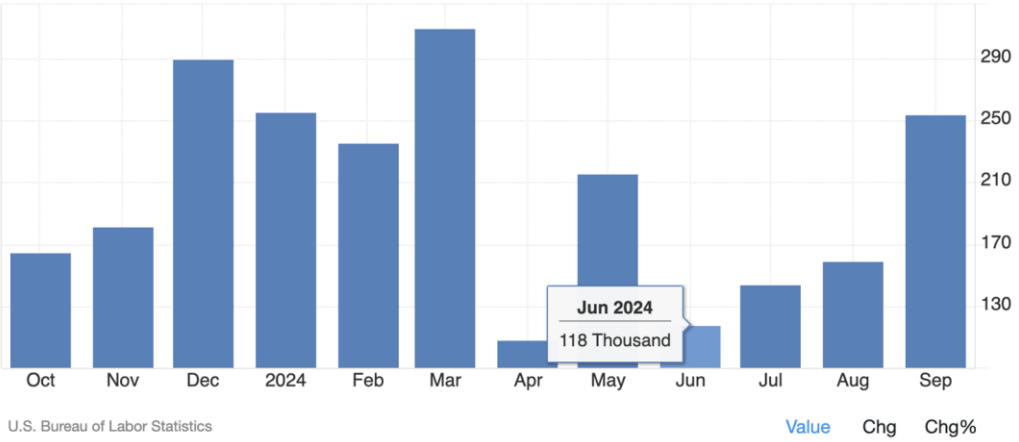
Japanese funds' heavy footprints in major global markets



BoJ surprise rate hike in July



US Non-farm



A shock to markets narratives - Japan carry trade unwind

S&P500

US 10yr

US 2yr

USDJPY hence sold off

Biggest Macro Narratives?

Biggest Macro Narratives

1. Fiscal Dominance
2. Fiat Debasement
3. (End of) US Exceptionalism
4. AI Bubble
5. K-Shaped Economy